

| Price         | Put Option  | Call Option |
|---------------|-------------|-------------|
| Price = ₹800  | ✓ Exercised | ✗ Exercised |
| Price = ₹950  | ✗ Exercised | ✗ Exercised |
| Price = ₹1300 | ✗ Exercised | ✓ Exercised |



**MAXIMUM LOSS** = ₹30 + ₹35  
= ₹65

When the price stays between ₹900 to ₹1200, we have losses. As we move ahead of either of these two points (₹900 and ₹1200), we start to recover our losses.



On the downside,  
**BREAK EVEN POINT** = ₹900 - ₹65  
= ₹835

On the upside,  
**BREAK EVEN POINT** = ₹1200 + ₹65  
= ₹1265



### PROFITS

So, if the price goes below ₹835, we can have profits. Alternatively, if the price goes above ₹1265, we have profits.

This is why we want high volatility while we execute this strategy to make profits.

Higher the volatility, higher is the profit potential with this strategy.